REPORTABLE (33)

ZIMBABWE CONSOLIDATED DIAMOND COMPANY (PRIVATE) LIMITED
v
ADLECRAFT INVESTMENT (PRIVATE) LIMITED

SUPREME COURT OF ZIMBABWE
BHUNU JA, CHIWESHE JA & MUSAKWA JA
HARARE: 14 OCTOBER 2025 & 26 MAY 2026

T. Magwaliba, for the appellant

L. Uriri with *E. Mubaiwa,* for the respondent

MUSAKWA JA:

1. This is an appeal against the whole judgment of the High Court ("the *court a quo"*), dated 15 March 2023. In that judgment, the respondent filed an urgent court application wherein it claimed an order directing the appellant to pay to it the sum of USD13 824 163.22 with costs of suit on an attorney-client scale. The court *a quo* entered judgment in favour of the respondent and ordered that the appellant make payment of USD10 718 373.51, interest on the aforementioned sum at the rate of 2% per month from the date of its judgment up to the date of full payment and costs of suit on an attorney-client scale.

BACKGROUND

2. The appellant and the respondent are companies incorporated in terms of the laws of Zimbabwe.

3. On 8 February 2016, the parties entered into an agreement wherein the respondent would provide mining services to the appellant. In turn, the respondent would be paid for its services based on an invoice, which would be raised monthly. In terms of the agreement,

after issuance of an invoice, the amount would be due and payable within 14 days of issuance of the invoice. In the event of default, the invoiced amount would attract interest at the rate of 2% per month.

4. The agreement was set to expire after a year, and was subject to renewal upon satisfactory performance. Consequently, following expiry of the agreement, the respondent continued to offer mining services to the appellant pending negotiations on the contract rate to be applied in the renewed agreement. The agreement was eventually cancelled in April 2020. On 8 October 2019, the appellant wrote to the respondent acknowledging owing the respondent an amount of USD 4 344 965.67. The figure excluded interest. Through a letter dated 14 November 2019, the appellant wrote a further letter to the respondent acknowledging an outstanding balance in excess of ZWL5 000 000.00 for services rendered. In a letter dated 13 April 2021, the appellant acknowledged owing USD1 979 590.65 as at 31 December 2020 based on the contract rate of USD2.10/ton for ore and USD1.82/ton for waste. In that letter, the appellant confirmed that the respondent had continued to offer its services despite the expiry of the contract between the parties in 2017. In a letter of demand dated 14 December 2022 the respondent pointed out that the appellant had, on 21 April 2021 acknowledged owing USD1 979 590.65 of that amount, the sum of USD1 300 486.67 had been paid, leaving a balance of USD679 103.98. Through the letter of demand, the respondent instructed the appellant to pay the remaining balance within 72 hours of receipt of the letter of demand. On 16 December 2022, another letter to which was attached a statement was written to the appellant stating that the outstanding amount as at 31 December 2018, excluding interest, was USD4 344 965.67. The letter stated that when interest was factored in, the balance due would be USD13 824 163.22 as at 31 December 2022. The respondent asked the appellant to deposit the amount into the same account that had been given in the letter of demand dated 14 December 2022.

It was at this point that the respondent filed an urgent court application in the court *a quo*, on the basis that the undue delay by the appellant in paying the amount owed caused the respondent to be technically insolvent.

PROCEEDINGS BEFORE THE COURT *A QUO*

5. The appellant raised several points *in limine*. Firstly, the appellant contended that the matter was not urgent as the urgency was self-created. It claimed that the *quantum* in dispute had arisen around 2016, and as of April 2021, the parties had entered into a settlement arrangement for the debt. Further, the appellant claimed that the basis of the urgency was the respondent's likely insolvency, which the respondent stated could escape through the payment of the 13 million it had claimed from the appellant. However, according to the appellant the documents relied on by the respondent showed that the appellant was indebted in the sum of USD679 103.98 and even if that amount was paid, it would still not justify treating the matter as urgent. The respondent, however, argued that the matter was urgent as it stood on the brink of insolvency if the debt was not urgently paid.

6. Secondly, the appellant contended, *in limine*, that the respondent's claim had prescribed. The appellant averred that the debt arose between 2016 and 2018, and as such, it had prescribed, as the claim had been instituted more than three years after the cause of action arose. The respondent, however, contended that the appellant had expressly and/or tacitly acknowledged its indebtedness to the respondent and that the acknowledgement of liability interrupted the running of prescription.

7. Thirdly, *in limine*, the appellant claimed that there was a material dispute of facts. The appellant stated that nowhere in the respondent's papers was there an acknowledgement of the sum claimed and the capital amount on which it is based.

8. On the merits, the appellant conceded that it owed the respondent USD4 344 965.67 as at December 2018, which was converted to RTGS due to the Presidential Powers (Temporary Measures) (Amendment of Reserve Bank of Zimbabwe Act and Issue of Real Time Gross Settlement Electronic Dollars (RTGS Dollars) Regulations, Statutory Instrument 33 of 2019 (SI 33 of 2019). It asserted that it paid in full the amount of USD4 369 965.33 in separate instalments on 7 and 20 August 2019, which exceeded the amount it owed. It argued that the only amount it owed the respondent was USD679 103.98. The appellant contended that by operation of SI 33 of 2019, it was entitled to settle the debt in local currency, whilst the respondent averred that it must be paid in United States Dollars, the currency provided for by the contract.

9. Concerning the preliminary point on urgency, the court *a quo* held that the extract from the respondent's balance sheet showed its financial precariousness. On the authority of *Silver's Trucks & Another* v *Director of Customs & Excise* 1999 (1) ZLR 490 the court *a quo* held that commercial urgency was a valid ground for seeking the urgent hearing of a matter. The court *a quo* further held that if the matter was not heard urgently, the respondent could be rendered insolvent, and whatever relief it could get in the future would be hollow. It also held that the ease of doing business as touted by the government entails that commercial disputes be resolved expeditiously. It thus dismissed the point *in limine* relating to lack of urgency.

10. The court *a quo* considered that the facts giving rise to the dispute were common cause, so was the fact that the work done was based on the 2016 agreement. It further found as common cause the fact that after the agreement had lapsed, the respondent continued to render its services while the parties negotiated the new rates to be applied. It thus found that the sole issue to be determined, which the affidavits could not establish, was the exact

amount that remained outstanding. The court *a quo* directed that regarding the points in *limine* on material dispute of facts and prescription, *viva voce* evidence be led.

11. After evidence was led by both parties, the court *a quo* held that the letter dated 13 April 2021 was an unequivocal admission of liability by the appellant. The court *a quo* further considered that the emails that followed the letter showed that the appellant admitted to owing money to the respondent. The court *a quo* further found that on 27 January 2023, the appellant had sent emails in which it stated that its accounts department had agreed to pay the amount reflected in a statement sent in 2021. The court *a quo* held that in terms of s 18 (1) of the Prescription Act [*Chapter 8:11*] ("Prescription Act"), the running of prescription shall be interrupted by an express or tacit acknowledgement of liability by a debtor and the letter dated 13 April 2021 was an explicit admission of liability by the appellant. The court *a quo* further found that the only issue which had to be resolved related to the amount due; as such, it proceeded to dismiss the point *in limine* on prescription.

12. The court *a quo* found that if the appellant claimed to have paid the sum of USD3 344 965.67 by 20 or even 21 August 2019, then it could not have been expected to acknowledge indebtedness after those dates. The court *a quo* further found that the appellant, (per letter dated 14 November 2019), had acknowledged owing the respondent over USD5 000 000.00 for contract mining services rendered. This could not have been the case if it was now claiming to have paid off the debt earlier. The court *a quo* held that the evidence showed that as of 28 April 2020, the amount outstanding was USD6 259 127.55. It further held that the amount excluded interest, and when interest was factored in, plus USD679 103.98, the total amount due was USD13 824 163.22. The court *a quo* noted that the sum of USD7 814 733.13 represented the interest due, which exceeded

the principal sum in contravention of the *in duplum* rule, as interest ceased to accrue upon reaching the principal sum. The respondent duly amended its claim to USD10 712 860.18 to ensure compliance with the *in duplum* rule.

13. Regarding the dispute as to which currency the debt ought to be paid in, the court *a quo* found that the agreement between the parties expressly denominated the rates in United States Dollars. Since clause 7.1 of the agreement specified that the contract represented the entire agreement between the parties, there was no legal barrier to ordering performance in the agreed currency. As such, the court *a quo* concluded that the applicable currency was United States Dollars.

14. With regard to costs, clause 15.2 of the agreement provided that a party which approached the court to enforce its rights was entitled to recover costs on an attorney-client scale. The court *a quo* held that failure by the appellant to meet its contractual obligations was in itself reprehensible and justified punitive costs.

PROCEEDINGS BEFORE THIS COURT

15. Aggrieved, the appellant appealed to this Court on the following grounds of appeal:

    "1. The High Court grossly erred in assuming jurisdiction where the urgent court application filed on behalf of the respondent was invalid for want of compliance with r 59 (6) of the High Court Rules, 2021 in that it called upon the appellant to file opposing papers within a period of two (2) days with no court order having been obtained to permit the limited period to file opposing papers.

    2. The High Court further grossly erred in finding that commercial urgency had been established by the respondent when it was apparent that the debt sued for arose from about 2018 and there was no basis for concluding that the alleged debt was the cause of the alleged insolvency of the respondent.

3. The High Court further grossly erred in dismissing the point *in limine* that there were material disputes of fact which could not be resolved on the papers and at the same time, without an application from any party directing that oral evidence should be led to resolve material disputes of fact
4. The High Court further grossly erred in finding that the Respondent was owed any amount other than the acknowledged sum of USD 679 103.98 given the payment of RTGS $4 469 695.53 to the respondent in August 2019.
5. The High Court further grossly erred in finding that the debt which was sued for, other than the admitted amount, had not been extinguished on account of extinctive prescription it having been due from as far as the year 2018.
6. The High Court further grossly erred in awarding costs against the appellant on an attorney and client scale where there was no justification for such an order."

SUBMISSIONS OF THE PARTIES *IN LIMINE*

16. *In limine*, Mr *Uriri*, counsel for the respondent, contended that the notice of appeal was fatally defective due to non-compliance with r 37 (1) (c) and r 37 (1) (e) of the Supreme Court Rules, 2018 (under which the appeal was noted). Mr *Uriri* argued that, under r 37 (1) (e), a notice of appeal must specify the exact relief sought. Counsel submitted that the first ground of appeal claims the application *a quo* was invalid; the second ground asserts that the matter was not urgent, and the third ground alleges a procedural impropriety, claiming the court *a quo* erred in dismissing the point *in limine*. He maintained that the relief sought by the appellant was for the application to be dismissed, but this was irregular, because if the court were to find in favour of the grounds of appeal, the application would be struck off rather than dismissed. Counsel referred to r 37 (1) (c), asserting that the rule requires clarity on whether the appeal is against the whole judgment or part of it. He contended that the appellant states it appeals against the entire judgment; however, looking

at the fourth ground of appeal, the appellant claims the court *a quo* erred in finding that the respondent was owed any amount other than the acknowledged sum of USD679 103.98. He argued that this ground implies acknowledgement that the appellant owes USD 679 103.98 to the respondent. Furthermore, he stated that the appellant was not contesting the finding that it owed the respondent, but rather the specific amount owed; thus, he argued the appellant is only appealing against part of the judgment, not the entire verdict. Counsel observed that one cannot appeal against the whole judgment when the appeal concerns only part of it. Consequently, he argued that the notice of appeal is fatally defective. He further contended that the first three grounds of appeal lack merit. He added that, as a general rule, one does not appeal against a finding of urgency, as it is a matter within the court's discretion. He prayed that the appeal be struck off or, alternatively, that the first, second, and third grounds of appeal be struck out.

17. In response, Mr *Magwaliba*, counsel for the appellant, argued that the points *in limine* raised by the respondent should be disregarded and the matter be heard on the merits. He argued that the respondent's heads of argument did not address the merits, which indicated that the respondent has no defence and does not want the matter to be dealt with on the merits to simply delay the day of reckoning. He argued further that the points *in limine* were raised by way of a letter as opposed to a notice of a preliminary objection. Without conceding to the respondent's preliminary points, counsel indicated that he was prepared to abandon the first, second and third grounds of appeal.

18. The court subsequently ruled that the first, second and third grounds of appeal stood abandoned.

SUBMISSIONS ON THE MERITS

19. Counsel for the appellant argued that the court *a quo* misdirected itself by relying on fictitious emails to find that the appellant owed the respondent USD 4 344 965. 76 through an admission of liability. He submitted that the appellant only admitted liability for USD 679 103.98 as at 31 December 2020. He further argued that the court erred in holding that the prescription was interrupted, since the disputed amount of USD 4 344 965.67 was never admitted, and the respondent's representative had conceded at trial that the actual balance was unclear.

20. Counsel further contended that the respondent had been fully paid in RTGS dollars in 2019 and that the court wrongly converted the amount into USD, despite correspondence showing that post SI 33 of 2019 payments were made at a one-to-one parity. He further challenged the award of punitive costs as being unjustified.

21. *Per contra*, counsel for the respondent submitted that the issue of currency denomination was not part of the appeal, as the court *a quo* had definitively ruled that the applicable currency was United States Dollars (USD), a finding not challenged on appeal. He noted that exhibits 1-4, dated after August 2019, constituted acknowledgements of debt for USD 4 244 965.67, and thus confirmed liability in USD. He further argued that costs are discretionary, and no basis had been shown to interfere with the court's exercise of the discretion.

ISSUES FOR DETERMINATION

22. The issues for determination are:

    (i) Whether the appellant owed any other sum other than the acknowledged amount of USD 679 103.98

    (ii) Whether the debt claimed by the respondent had prescribed.

    (iii) Whether the court *a quo* erred in awarding costs on an attorney-client scale.

ANALYSIS

Whether the appellant owed any other sum other than the acknowledged amount of USD 679 103.98

23. The court *a quo's* finding on the exact amount owed by the appellant was dependent on the evidence presented before it. As such, this issue relates to a factual finding arrived at by the court *a quo*. It is an enduring principle of law that an appellate court will not readily interfere with findings of fact made by a trial court. This was emphasised in *Chitukutuku & Ors* v *The Prosecutor General & Ors* SC 103/24, at p 26, where it was held that:

> "This Court cannot interfere with the decision of the court *a quo* where there is no misdirection on the part of the court. It is the position of the law that an appellate court is slow to interfere with the factual findings of a lower court unless the findings are grossly unreasonable to the extent that no reasonable tribunal applying its senses to the same facts could have reached the same conclusion."

24. In the present instance, the court *a quo* determined that as of 31 December 2018, the appellant owed a sum of USD4 344 965.67. It dismissed the appellant's contention that the debt was extinguished by payments made on 7 and 21 August 2019, noting the appellant's acknowledgement of the debt and commitment to pay interest from 2016 in a letter dated 8 October 2019. Furthermore, the court *a quo* highlighted that in a letter dated 14 November 2019, the appellant admitted owing the respondent over ZWL5 000 000.00 for contract mining services. This acknowledgement was held to conflict with the appellant's claim that the debt had been settled by August 2019. Consequently, the court *a quo* concluded that, in the absence of any evidence from the appellant quantifying its indebtedness as of November 2019, the respondent's evidence remained unchallenged and was accepted as conclusive. As such, the appellant's assertions were contrary to its own documented acknowledgements of indebtedness, which varied with its claim of having settled the debt. This, coupled with the appellant's failure to provide substantive evidence to refute the respondent's claims, left the court *a quo* with no basis to accept its rebuttal.

25. Regarding the currency in which payment should be made, none of the grounds of appeal contest this finding on appeal.

Whether the debt claimed by the respondent had prescribed

26. Prescription refers to the extinguishment of rights and obligations through the passage of time. A debt prescribes after three years pursuant to s 15 (d) as read with s 2 of the Prescription Act. However, the operation of the prescription may be interrupted in two distinct ways. The first of these is judicial interruption in terms of s 19 of the Prescription Act. Secondly, prescription may be interrupted in terms of s 18 of the Prescription Act, which provides that: -

> "**18 Prescription interrupted by acknowledgement of liability**
> (1) The running of prescription shall be interrupted by an express or tacit acknowledgement of liability by the debtor.
>
> (2) If the running of prescription is interrupted in terms of subs (1), prescription shall commence to run afresh –
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> (a) from the date on which the interruption takes place; or
>
> (b) if at the time of the interruption or any time thereafter the parties postpone the due date of the debt from the date upon which the debt again becomes due."

27. In interpreting the aforesaid provision, UCHENA JA in *Howson* v *Cameron* SC 69/20, at pp 7 - 8, held that:-

> "Section 18 provides for the interruption of prescription before the prescription period runs its full course on the expiry of a period of three years as provided by s 15 of the Act. In this case, the appellant alleged that prescription was interrupted on 19 March 2015, when the prescription period would have run out on 31 December 2015. This means if prescription was interrupted on 19 March 2015 it commenced to run afresh, from that day for a further period of three years. An express acknowledgement of debt is one in which a debtor expressly admits that he owes the creditor the amount claimed. A tacit acknowledgement of liability occurs when a debtor without expressly saying words of acknowledgement acts or conducts himself in a manner indicative of his acknowledgement of debt. The conduct should be such as cannot be explained away as indicative of anything other than an acknowledgment of debt. As acknowledgement of debt is inferred from

> the debtor's conduct the conduct should be such as would not justify the drawing of any other inference other than an acknowledgement of debt."

28. The above authority recognises that a debtor's acknowledgement, whether explicit or implicit, serves to interrupt the running of the prescription period. The prescription period starts to run afresh, from the day of acknowledgement, for a further period of three years. *In casu,* the court *a quo* identified the letter dated 13 April 2021 as the correspondence that interrupted prescription. Furthermore, it was observed that even as late as 2023, the appellant continued to acknowledge liability, leading to the conclusion that the claim had not prescribed. The court *a quo* held that the appellant's first acknowledgement of liability was in a letter dated 8 October 2019. Consequently, prescription was interrupted, causing it to begin running afresh from that date and setting the expiry of the prescription period in October 2022.

29. It ought to be borne in mind that after the prescription period had lapsed, the appellant made two payments towards the debt on 15 and 24 May 2023, even while asserting that the claim was prescribed. It appears disingenuous to invoke prescription as a defence while simultaneously settling the liability. Such conduct amounts to approbating and reprobating. In *Retinue Stars Investments (Pvt) Ltd* v *Olympus Gold Zimbabwe Limited & Ors* SC 27/24, at p11, MWAYERA JA cited with approval *S* v *Marutsi* 1990 (2) ZLR (SC), at 374B, wherein the court stated the following: -

> "It is trite that a litigant cannot be allowed to approbate and reprobate a step taken in proceedings. He can only do one or the other, not both."

30. Moreover, the ambiguity surrounding the specific amount owed at the time of acknowledging liability is immaterial in respect of prescription. Through an acknowledgement of indebtedness to the respondent for an unspecified sum, the appellant

interrupted the running of the prescription. Therefore, the fifth ground of appeal has no merit.

Whether or not the court *a quo* erred in awarding costs on an attorney-client scale.

30. An award of costs is within the discretion of the court. The general rule is that costs follow the outcome. In *Buwu & Anor* v *Village Inn (Pvt) Ltd & Ors; Buwu & Anor* v *Folay Investments (Pvt) Ltd & Ors* SC 112/23, at p 19, CHITAKUNYE JA held as follows:

> "Though the award of costs and level thereof is at the discretion of court, such discretion must be judiciously exercised. It is trite that an award of costs is usually awarded to a successful litigant to indemnify him/her from the expense which he/she would have incurred in defending the action. Such costs are normally on the ordinary scale. Where costs are awarded on a higher scale reasons thereof must invariably be stated. The purpose of punitive costs includes deterring frivolous litigation, encouraging parties to settle wherever possible and discouraging the institution and continuation of hopeless cases and defences. An award of punitive costs is usually granted in exceptional circumstances. This Court in *Dongo* v *Naik & Ors* SC 52/20 held that:
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> > 'It is settled law that costs are at the discretion of the court. The award can only be set aside where the discretion was not exercised judiciously. It is also settled that costs on a higher scale are granted in exceptional circumstances. The grounds upon which the court would be justified to make an award for costs on a legal practitioner and client scale include dishonest or malicious conduct, and vexatious, reckless or frivolous proceedings by and on the part of the litigant concerned."'

31. *In casu*, the court *a quo* awarded costs on a higher scale against the appellant, as per the agreement between the parties. The agreement between the parties expressly provided that a party seeking to enforce the agreement through the courts would be entitled to costs at an attorney-client scale. Furthermore, the court *a quo* found that the appellant's refusal to fulfil its contractual obligations provided an additional justification for the imposition of costs on a higher scale. Therefore, the sixth ground of appeal lacks merit.

DISPOSITION

32. From the foregoing, we reach the conclusion that the remaining grounds of appeal lack merit. Therefore, the appeal ought to fail. Regarding costs, there is no reason to depart from the general principle that costs follow the cause.

33. It is accordingly ordered as follows:-

"The appeal be and is hereby dismissed with costs."

BHUNU JA : I agree

CHIWESHE JA : I agree

Sawyer & Mkushi, appellant's legal practitioners.

Tarugarira Sande Attorneys, **r**espondent's legal practitioners.